

Diligence Report — CUSIP 13050TBA5

Sewer Treatment Revenue Bond, Series 2016 (City of San Bernardino Sewer Facilities Project)

4.00% coupon · due 2041-08-01 · revenue pledge · AGM-insured Cutoff: 2026-06-20 · Prepared by SignalOS muni_credit

(a) Verdict, thesis, and resolved issuer

VERDICT: BUY (essential-service wastewater revenue bond; diversified retail base; very strong coverage; honestly disclosed, now-resolved Chapter 9 history).

Resolved issuer / true obligor. The named issuer on the CUSIP (base 13050T = **California Municipal Finance Authority, "CMFA"**) is a **conduit / JPA shell with no taxing power and no operating role**. The conduit name tells you nothing about the credit. Reading the Official Statement resolves the **true obligor: the City of San Bernardino Municipal Water Department (the "Department"), Sewer Treatment Enterprise**, acting on behalf of the City of San Bernardino. The Department operates a 33 MGD regional secondary wastewater treatment plant (the "WRP"). CMFA loaned bond proceeds to the Department under an Installment Purchase Agreement; the bonds are repaid solely from the Department's sewer **Net Revenues**. This is the correct way to read a CMFA-style conduit: ignore the issuer name, find the underlying enterprise.

Thesis. This is a textbook *clean* essential-service wastewater revenue bond, and it is the **inverse of the Tulare-dairy reject risk**. The three things that actually matter for a water/wastewater revenue bond — debt-service coverage, customer concentration, and supply/regulatory (here NPDES treatment) risk — all read favorably: - Coverage is enormous: **FY2024 DSCR = 6.10x** against a thin 1.10x rate covenant, and the 2016 Bonds are the *only* senior-lien debt. - The customer base is **diversified retail/residential** (~64,000 connections). **No single customer exceeds ~1.4% of revenue**; top-ten = ~5.5%. There is no dominant industrial/ag offtaker whose loss would impair the pledge. - It is a wastewater (sewer treatment) system with a long record of NPDES compliance; the "water supply" axis does not apply, and the analog (discharge-permit risk) is clean.

The one genuinely material item — the City of San Bernardino's Chapter 9 bankruptcy — was **fully and prominently disclosed on the OS cover** and has since been **resolved** (plan of adjustment confirmed Feb 2017, effective mid-2017). Critically, the Sewer Enterprise was never a debtor and the pledged sewer Net Revenues are statutory "special revenues" exempt from the automatic stay. This is honestly-disclosed, now-stale bad news, which under our framework is CLEAN, not a flag.

Why it is in the book: ~4.19% gross YTM at a 99.45 dollar price on a ~11-year-duration, AGM-wrapped, deeply-covered essential-service revenue credit; ~8.1% TEY at the CA top bracket.

(b) Security — the revenue pledge (NOT a tax pledge)

Item	Finding	Source
Pledge	Net Revenues of the Sewer Treatment Fund , irrevocably pledged by the City via an Installment Purchase Agreement ("2016 Purchase Payments").	OS cover; OS "SECURITY AND SOURCES OF PAYMENT"
What it is NOT	Expressly not a tax pledge. OS cover (all-caps): the City's obligation "DOES NOT CONSTITUTE AN OBLIGATION ... FOR WHICH THE CITY IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION." No full faith & credit of CMFA, City, County, or State.	OS cover page
Lien	Senior lien on sewer Net Revenues; the 2016 Bonds are the only outstanding senior obligation (a prior 1998 COP was defeased April 2015).	OS Table 13 fn(2); FY2024 CD coverage table (Subordinate Lien D/S = \$0)
Reserve	Funded by an AGM Reserve Insurance Policy (surety, ~\$1.97M Reserve Requirement), not cash — a mild structural negative (surety vs. cash reserve).	OS "Common Reserve Account"
Rate Stabilization Fund	Separate Sewer Treatment Rate Stabilization Fund (~\$2.68M transferred at closing) — supportive of coverage stability.	OS "Sewer Treatment Rate Stabilization Fund"

This is a genuine net-revenue pledge of an essential-service enterprise — the correct, defensible security for this asset class. Applying the Tulare lesson, the risk is the enterprise's economics, not a tax base.

(c) System & customers

System (wastewater). The Department operates the **33 MGD Regional Secondary Treatment plant (the WRP)**. Secondary effluent (~27 MGD) is sent to the **RIX (Rapid Infiltration and Extraction) tertiary facility in Colton**, jointly owned by San Bernardino and Colton, which polishes to California Title 22 tertiary standards and discharges to the **Santa Ana River** under its own NPDES permit. The OS states RIX "consistently meets or exceeds required discharge standards." Service area ≈ **64,000 connections** across the City plus two partner agencies (East Valley Water District ~30% of flow; Loma Linda ~10%).

Customer concentration — THE decisive Tulare-lesson test → CLEAN (diversified retail).

Metric	At issuance (FY2015-16)	Current (FY2024)	Source
Largest single customer	School District, 1.03%	County of San Bernardino, 1.37%	OS Top-Ten table; FY2024 CD Top-Ten table
Top-ten customers, total	5.35%	5.51%	same
"No single customer >"	2% of gross revenues (OS explicit)	consistent (largest 1.37%)	OS p.~32
Residential/multi-family share	~63% of customers	stable	OS Table 2

The top-ten list is government, a school district, a hospital, housing/condo operators, and apartment owners — **no dominant industrial or agricultural offtaker**. This is exactly the diversified-retail profile that makes a water/wastewater revenue pledge clean. There is **no single-customer-reject risk** (the Tulare-

dairy failure mode), because no customer is large enough to matter and the enterprise has statutory authority to terminate service to delinquents and to set rates without outside approval.

(d) DSCR / rate covenant / supply (NPDES) / Prop 218

Debt-service coverage (DSCR) — very strong.

Fiscal Year	Net Revenues	Total Debt Service	Coverage
FY2020	\$13.12M	\$2.27M	5.79x
FY2021	\$9.10M	\$1.97M	4.63x
FY2022	\$12.96M	\$1.97M	6.59x
FY2023	\$12.90M	\$1.97M	6.56x
FY2024	\$11.98M	\$1.96M	6.10x

(Source: FY2024 Continuing Disclosure Annual Report, "Net Revenues & Debt Service Coverage.") At issuance, OS projections were 3.6x–4.1x on the new bonds after the 1998 COP was defeased; the system has comfortably beaten that. Pre-2016 historic coverage was thinner (1.16x–1.75x) only because it then carried the now-defeased COP.

Rate covenant — 1.10x (thin on paper, immaterial in practice). The City covenants to set rates yielding Net Revenues $\geq$ **110% of Debt Service**; the additional-bonds test is also 110% of Maximum Annual Debt Service. 1.10x is weak relative to the 1.20–1.25x typical of strong systems and is a genuine structural note — **but** actual coverage runs ~6x, so the headroom to the covenant is ~5.5x of debt service. The covenant is a floor the system is nowhere near.

Supply / regulatory (wastewater analog) — CLEAN. This is a sewer-treatment system, so the "imported-vs-groundwater / SGMA basin" supply axis does **not** apply. The analogous risk is **NPDES discharge-permit / treatment compliance**: WRP holds an NPDES permit; RIX holds its own NPDES permit and discharges to the Santa Ana River "in substantial compliance," "consistently meets or exceeds" standards. No disclosed permit violations or enforcement orders. **Forward capital risk**: the **Clean Water Factory** recycled-water program (a 5 MGD tertiary recharge/reuse build) is a multi-year CIP that will require future rate increases — properly disclosed as a risk factor, not a hidden liability.

Proposition 218 — standard sewer-rate risk, mitigated. Sewer charges are subject to Article XIID majority-protest (but not the two-thirds-vote requirement). The OS discloses the risk that future increases could face a majority protest. Mitigants: the system already has large coverage headroom (it does not *need* near-term increases to service this debt), and the Department/Board sets rates without outside-body approval. The recent rate history (8.5%/8.5%/3.5% increases implemented) shows demonstrated rate-raising capacity.

(e) Liquidity

- **Active two-sided market.** EMMA/municipalbonds.com tape shows **583 total trades** with the most recent prints on **2026-05-08** and **2026-05-13**, including both investor-bought and investor-sold

sides plus inter-dealer — i.e., genuine two-sided liquidity, not a one-print-a-year name.

- Last trade **2026-05-13 @ 99.45 / 4.048%** (yield-to-worst basis), \$30,000 par, inter-dealer; consistent with the prompt's ~99.45 last price.
- Size: \$5.95M term-2041 tranche within a \$34.445M issue — adequate for an SMA-scale add.
- **Caveat:** IBKR returned no searchable contract for this CUSIP (consistent with the close-only muni feed limitation); execution should be worked against the EMMA tape and a dealer runs list, not an IBKR live bid/ask. Spread on a buy-and-hold ladder add is a one-time ~1–3 bps/yr cost.

(f) Tax & yield

Metric	Value	Note
Tax status	Tax-EXEMPT, federal + CA state, non-AMT	Norton Rose Fulbright bond opinion, OS cover & "TAX MATTERS." Passes our taxable-muni gate — this is NOT a taxable muni.
Dollar price	99.45 (slight discount)	EMMA tape 2026-05-13
Gross YTM @ 99.45	~4.19% (settle 2026-06-20 → 2041-08-01)	SignalOS recompute; tape's "YTW" 4.048% on 5/13 is the MSRB yield-to-worst label
Modified duration	~11.0 years	SignalOS recompute
After-tax TEY (CA top bracket)	~8.1%	Gross-up of ~4.19% YTM at fed 37% + NIIT 3.8% + CA 13.3% stacked (mult ~1.95). Fed-only gross-up ≈ 6.7%.

TEY discipline: the **gross yield is ~4.19%**; the ~8.1% figure is the **full CA-top-bracket taxable-equivalent yield**, not the gross coupon/yield. Do not conflate the two.

Yield-to-worst note: the bond is a **discount** (99.45). Bonds maturing on/after 2027-08 are optionally callable at **par (100%)** on/after 2026-08-01. Because the bond trades below par, an early par call would *raise* the realized yield, so the investor's worst case (lowest yield) is running to the 2041 maturity / 2038–41 sinking fund. **YTW ≈ YTM here**. No premium-call give-up risk.

(g) Risks (honest; UNVERIFIABLE ≠ clean)

1. **City of San Bernardino Chapter 9 history (RESOLVED, disclosed).** City filed Chapter 9 in 2012; was still in bankruptcy at 2016 issuance (disclosed prominently on the OS cover). Plan of adjustment confirmed Feb 2017, effective mid-2017. The Sewer Enterprise was **never a debtor**; pledged Net Revenues are statutory "special revenues" (Bankruptcy Code §§922/928) exempt from the automatic stay — which is why the underlying rating held at "A" through the bankruptcy. This is honestly-disclosed, now-stale bad news → **CLEAN under the honesty framework, not a flag.**
Residual: a future municipal fiscal-stress recurrence is always possible for a city with SB's socioeconomic profile, but it would not reach the sewer Net Revenues pledge absent a special-revenues-impairing court ruling (an area of unsettled but generally bondholder-favorable law).
2. **Thin 1.10x rate covenant.** Weak covenant floor; mitigated by ~6x actual coverage and single-lien structure. Monitor that no large parity additional bonds are issued under the 110% MADS test that would compress coverage.

3. **Clean Water Factory CIP / future rate need.** Multi-year recycled-water capital program will require future rate increases and possibly additional bonds; disclosed. Watch for (a) parity debt issuance, (b) Prop 218 majority-protest on the rate case.
4. **Surety reserve (not cash).** Reserve Requirement satisfied by an AGM surety policy; reserve quality is tied to AGM, not cash on hand.
5. **AGM-wrap reliance / rating-conditional compression.** Bond is AGM-insured (S&P "AA" insured / "A" underlying at issuance). The wrap compresses spread conditional on the "A" underlying; in a stress the relevant credit is the **underlying "A"**, not the wrap. Re-pull current S&P underlying and AGM ratings before a large add (ratings not independently re-verified to today in this pass → treat as **needs-refresh, not assumed-unchanged**).
6. **Execution/liquidity feed gap.** IBKR has no live bid/ask for this CUSIP; work the order vs. EMMA tape and dealer runs.

UNVERIFIABLE / not re-pulled to cutoff (flagged, not assumed clean): current S&P underlying & AGM ratings (2016 values used); FY2025 audited coverage (FY2025 financials downloaded as raw/cd_0.pdf but coverage not yet re-tabulated — FY2024 is the latest tabulated coverage relied on here); any post-FY2024 material-event notices.

(h) Sources

Primary (saved to raw/): - raw/official_statement.pdf — CMFA Sewer Treatment Revenue Bonds, Series 2016 (City of San Bernardino Sewer Facilities Project), \$34,445,000 OS dated Dec 2016. EMMA doc ES1000842-ES784067-ES1185441.pdf . (Cover: obligor, pledge, Ch.9 disclosure, AGM wrap, ratings; inside cover line: "\$5,950,000 4.00% Term Bonds due August 1, 2041 — Yield 4.150% CUSIP †BA5" = exact CUSIP confirmation; Top-Ten customers; Table 13 historic coverage; rate covenant 110%; NPDES/RIX; Prop 218; special-revenues §922/928 discussion.) - raw/cd_0.pdf — Department audited financial report, FY ended 6/30/2025 (latest financials). - raw/cd_1.pdf — Continuing Disclosure Annual Report, FY ended 6/30/2024 (current Top-Ten customers = 5.51%, largest 1.37%; current coverage table FY2020–FY2024, DSCR 6.10x in FY2024). - raw/cd_2.pdf — Continuing Disclosure Report, FY ended 6/30/2022.

EMMA (MSRB): Issue EP375552 (CMFA Sewer Treatment Revenue Bonds, Series 2016 — City of San Bernardino Sewer Facilities Project); per-CUSIP Security/Details 13050TBA5. Scale JSON confirms 4% / 08-01-2041 / \$5.95M term maturity.

Trade tape: municipalbonds.com/EMMA RTRS — 583 trades; last 2026-05-13 @ 99.45 / 4.048% YTW; 2026-05-08 prints both sides.

Public record: City of San Bernardino Chapter 9 plan of adjustment confirmed Feb 2017, effective mid-2017 (Bond Buyer; Rose Institute; municipalbonds.com bankruptcy case study).

Identifiers (real, bound): CUSIP **13050TBA5** (CUSIP6 base 13050T = California Municipal Finance Authority). EMMA Issue ID **EP375552**. Trustee: U.S. Bank N.A. Bond Counsel: Norton Rose Fulbright US LLP. Insurer: Assured Guaranty Municipal Corp. (AGM).

Method discipline: each material claim was checked claim → method → authority (primary OS / continuing-disclosure / trade tape) → finding. Findings marked UNVERIFIABLE above were not treated as clean.

Current-State Verification (AV / coverage refresh — 2026-06-20)

As of 2026-06-20, a serial throttled EMMA continuing-disclosure pull was run (the latest annual report (*Annual Financial Disclosures Posted 02/25/2026 for the year ended 06/30/2025 (591 KB)*) is on file but its AV/coverage table is not machine-extractable (image/atypical layout)). **Current AV/coverage remains UNVERIFIABLE — honestly flagged, not clean.**